

25STCV35188 25STCV35188

County: los-angeles

Division: Civil Law and Motion

Department: 733

Hearing date: 2026-08-26

Motion: PLAINTIFF LILY L. CHEN's MOTION TO COMPEL ARBITRATION AND STAY PROCEEDINGS

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Case Number: 25STCV35188 Hearing Date: August 26, 2026 Dept: 733

SUPERIOR

COURT OF THE STATE OF CALIFORNIA

FOR

THE COUNTY OF LOS ANGELES

WILLIAM

B. KINNEY AND LILY L. CHEN,

Plaintiffs,

vs.

WANG XIAO and DOES 1-10, inclusive,

Defendants.

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CASE NO.: 25STCV35188

[TENTATIVE] ORDER RE: PLAINTIFF LILY L.
CHEN's MOTION TO COMPEL ARBITRATION AND STAY PROCEEDINGS

Dept. 733

8:30 a.m.

August 26, 2026

I.
INTRODUCTION

This
action concerns a dispute over a single-family residential real estate purchase
and

sale contract (the
"Contract") for property commonly known as 1060 Fallen Leaf Road, Arcadia, CA
91006 (the "Property").

On
December 2, 2025, Plaintiffs William B. Kinney ("Kinney") and Lily L. Chen

("Chen") ("Plaintiffs")
filed a complaint against Defendant Wang Xiao ("Defendant" or "Xiao"), alleging
causes of action for (1) Breach of Contract – Specific Performance, (2) Breach

of Contract – Damages, and (3) Relief Under Civil Code Section 1057.3.

On April 23, 2026, the Court substituted Chen as Kinney's successor-in-interest.

On May 18, 2026, Chen filed the instant motion to compel arbitration.

On August 13, 2026, Xiao filed an opposition.

On August 17, 2026, Chen filed a reply.

II.

LEGAL STANDARD

Under Code of Civil

Procedure section 1281.2, a court may order arbitration of a controversy if it finds that the parties have agreed to arbitrate that dispute. Because the obligation to arbitrate arises from contract, the court may compel arbitration only if the dispute in question is one in which the parties have agreed to arbitrate. (Weeks v. Crow (1980) 113 Cal.App.3d 350, 352.) Since arbitration is a favored method of dispute resolution, arbitration agreements should be liberally interpreted, and arbitration should be ordered unless the agreement clearly does not apply to the dispute in question. (Id. at p. 353; Segal v. Silberstein (2007) 156 Cal.App.4th 627, 633.)

III.

DISCUSSION

1.

Existence

of Valid Arbitration Agreement

“Arbitration

is a matter of contract.” (Metalclad Corp. v. Ventana Env't Organizational P'ship (2003) 109 Cal.App.4th 1705, 1711.) “General principles of contract law determine whether the parties have entered a binding agreement to arbitrate.” (Craig v. Brown & Root, Inc., 84 Cal.App.4th 416, 420 (2000); Engalla v. Permanente Medical Group, Inc., 15 Cal.4th 951, 971-72 (1997).) “In determining whether an arbitration agreement exists, we

apply the same rules of contract formation as for any other contract.” (Weeks v. Interactive Life Forms, LLC (2024) 100 Cal.App.5th 1077, 1084.)

Under

California law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (Winter v. Window Fashions Professions, Inc. (2008) 166 Cal.App.4th 943, 947.) The party moving to compel arbitration must establish the existence of a written arbitration agreement between the parties. (Code of Civ. Proc. Section 1281.2.) In ruling on a motion to compel arbitration, the court must first determine whether the parties agreed to arbitrate the dispute, and general principles of California contract law help guide the court in making this determination. (Mendez v. Mid-Wilshire Health Care Center (2013) 220 Cal.App.4th 534, 541.)

Once

petitioners allege that an arbitration agreement exists, the burden shifts to respondents to prove the falsity of the purported agreement, and no evidence or authentication is required to find the arbitration agreement exists. (See Condee v. Longwood Mgt. Corp. (2001) 88 Cal.App.4th 215, 219.) However, if the existence of the agreement is challenged, “petitioner bears the burden of proving [the arbitration agreement’s] existence by a preponderance of the evidence.” (Rosenthal v. Great Western Fin. Securities Corp. (1996) 14 Cal.4th 394, 413. See also Espejo v. Southern California Permanente Medical Group (2016) 246 Cal.App.4th 1047, 1058-1060.)

“With

respect to the moving party’s burden to provide evidence of the existence of an agreement to arbitrate, it is generally sufficient for that party to present a copy of the contract to the court.” (Baker v. Italian Maple Holdings, LLC (2017) 13 Cal.App.5th 1152, 1160). “A petition to compel arbitration or to stay proceedings pursuant to Code of Civil Procedure sections 1281.2 and 1281.4 must state, in addition to other required allegations, the provisions of the written agreement and the paragraph that provides for arbitration. The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference.” (Cal. Rules of Court, Rule 3.1330.) “Once such a document is presented to the court, the burden shifts to the party opposing the motion to compel, who may present any challenges to the enforcement of the agreement and evidence in support of those challenges.” (Baker, supra, 13 Cal.App.5th at p. 1160.)

Here, Chen provides that the parties entered into a Residential Purchase Agreement (“RPA”) for the sale of 1060 Falling Leaf Road, Arcadia, California, in September 2025, to close in October 2025. (Chen Decl., ¶ 2 [RPA].) In support of whether a valid arbitration agreement exists, Chen has provided the text of the RPA, including the Arbitration Provision at issue. (Ibid.) The RPA states in pertinent part:

“28.

ARBITRATION OF DISPUTES: A. The Parties agree that any dispute or claim in Law or equity arising between them out of this Agreement or any resulting transaction, which is not settled through mediation, shall be decided by neutral, binding arbitration. The Parties also agree to arbitrate any disputes or claims with Agents(s), who, in writing, agree to such arbitration prior to, or within a reasonable time after, the dispute or claim is presented to the Agent. The arbitration shall be conducted through any arbitration provider or service mutually agreed to by the Parties. The arbitrator shall be a retired judge or justice, or an attorney with at least 5 years of residential real estate Law experience, unless the Parties mutually agree to a different arbitrator. Enforcement of, and any motion to compel arbitration pursuant to, this agreement to arbitrate shall be governed by the procedural rules of the Federal Arbitration Act, and not the California Arbitration Act, notwithstanding any language seemingly to the contrary in this Agreement.”

(Id. at p. 14, § 28(a).)

The signatures of Kinney, Chen and Xiao can be found both at the bottom of the page on which the Arbitration Provision can be found, and within the box containing the Arbitration Provision itself. (Ibid.)

Further, there is no dispute that the instant action is a “dispute or claim in Law or equity arising . . . out of this Agreement or any resulting transaction,” as the complaint was brought to seek specific performance of the RPA. (Ibid.)

However, in opposition, Xiao argues that Chen has failed to meet her burden in showing that there exists a valid arbitration agreement because Kinney is now deceased and the RPA excludes “Any matter that is within the jurisdiction of a probate . . . court. . .” from arbitration. (Id. at p. 14, § 28(b).) The instant action has simply not been shown to be within the jurisdiction of the probate court. It is a contract claim seeking specific performance of the RPA – Xiao

has identified no probate proceeding that is pending and the Court has expressly allowed Chen to act as Kinney's successor-in-interest in this matter.

Xiao's derivative arguments that the funds used to place the deposit alleged in the complaint were not in Chen's "own name," and thus, there are issues as to whether Chen can perform and "complete the purchase," are simply irrelevant to whether the dispute is subject to arbitration as they go to the merits of the action. Such arguments are preserved for the arbitrator should the Court find that the matter should be sent to arbitration. (AT & T Techs., Inc. v. Commc'ns Workers of Am. (1986) 475 U.S. 643, 649 ["In deciding whether the parties have agreed to submit a particular grievance to arbitration, a court is not to rule on the potential merits of the underlying claims."]; First Options of Chicago, Inc. v. Kaplan (1995) 514 U.S. 938, 942["That is because a party who has not agreed to arbitrate will normally have a right to a court's decision about the merits of its dispute (say, as here, its obligation under a contract). But, where the party has agreed to arbitrate, he or she, in effect, has relinquished much of that right's practical value."].)

Chen has met her initial burden in demonstrating that a valid arbitration agreement exists between the parties. Therefore, the burden shifts to Xiao.

2. Waiver

"While acknowledging that both the FAA and our state-law analogue, the CAA, allow a court to deny a petition to compel arbitration based on waiver, we emphasized that 'the party seeking to establish a waiver bears a heavy burden of proof' and 'any doubts regarding a waiver allegation should be resolved in favor of arbitration.' (Citation.)" (Quach v. California Com. Club, Inc. (2024) 16 Cal.5th 562, 573.)

"In the past, California courts have found a waiver of the right to demand arbitration in a variety of contexts, ranging from situations in which the party seeking to compel arbitration has previously taken steps inconsistent with an intent to invoke arbitration [citations] to instances in which the petitioning party has unreasonably delayed in undertaking the procedure. [Citations.]' (Citation.)" (Desert Reg'l Med. Ctr., Inc. v. Miller (2022) 87 Cal.App.5th 295, 315.) "To properly invoke the right to arbitrate, a party must (1) timely raise the defense and take affirmative steps to implement the process, and (2) participate in conduct consistent with the intent to arbitrate the

dispute. Both of these actions must be taken to secure for the participants the benefits of arbitration.’
(Citation.)” (Ibid.)

“While waiver is not a mechanical process, and no one factor is predominant, the pertinent factors for this appeal are: (1) Did the party seeking arbitration act inconsistently with the right to arbitrate or otherwise substantially invoke the litigation process? (2) Are the parties “well into preparation” of the lawsuit? (3) Is there an imminent trial date? (4) Has the delay affected, misled, or prejudiced the opposing party?” (Burton v. Cruise (2011) 190 Cal.App.4th 939, 944–45.)

Although participating in the litigation of an arbitrable claim does not by itself waive a party's right to later seek to arbitrate the matter, at some point continued litigation of the dispute justifies a finding of waiver.” (Fleming Distribution Co. v. Younan (2020) 49 Cal.App.5th 73, 80.)

Xiao solely contends that Chen has waived her right to arbitrate by filing the complaint and delaying seeking arbitration. The Court does not agree.

First, Chen declares that she, pursuant to the RPA, filed this action for the purpose of being able to record a lis pendens on the property to protect her rights and so that Xiao could not sell the property to a bona-fide purchaser. (Chen Decl., ¶ 16; (Shoker v. Superior Court (2022) 81 Cal.App.5th 271, 275 (quoting § 405.20) [“A party to an action who asserts a real property claim may record a notice of pendency of action in which that real property claim is alleged.”].)

Furthermore, the Court does not find that Chen delayed seeking arbitration. The complaint was filed on December 2, 2025 and Chen promptly filed the instant motion on May 18, 2026, only a few months later. (Burton, supra, 190 Cal.App.4th at p. 945 [“We recognize that waiver is not to be lightly inferred and the party seeking to establish it bears a “heavy burden of proof,” with all doubts resolved in favor of

arbitration”]; id. at p. 949 [finding waiver when the Defendant “did not nothing to bring about arbitration for some 11 months, taking action only weeks before the scheduled trial date” and Plaintiff “not only designated his medical experts, but had completed discovery, including depositions”].) Also, Chen noted multiple times in her initial Case Management Statement that she intends to pursue arbitration. (See Case Management Statement [filed May 13, 2026] at ¶¶ 4(b), 10(c), 15.)

The Court lastly notes in Xiao’s opposition to Chen’s motion to proceed as Kinney’s successor-in-interest, Xiao explicitly argued that the RPA “contains a mandatory arbitration clause initialed by all parties,” “[t]he Complaint itself was filed solely to record a lis pendens—not to invoke this Court’s adjudicatory authority over the merits” and that “all proceedings should be stayed and the dispute submitted to binding arbitration.” (See Opp. to Successor-in-Interest motion at p. 2.)

IV.

CONCLUSION

Based on the foregoing, Chen’s motion to compel arbitration is GRANTED. The matter is

hereby stayed pending arbitration.

Dated this 26th
day of August 2026

Hon. Gary D.
Roberts

Judge of the
Superior Court